

4.3.4 GLOBAL INDUSTRIES AND COMPANIES

What you need to know

a) Impact of MNCs on the local economy:

- local labour, wages, working conditions and job creation
- local businesses
- the local community and environment.

b) Impact of MNCs on the national economy:

- economic growth
- FDI flows
- balance of payments
- technology and skills transfer
- consumers
- business culture
- tax revenues.

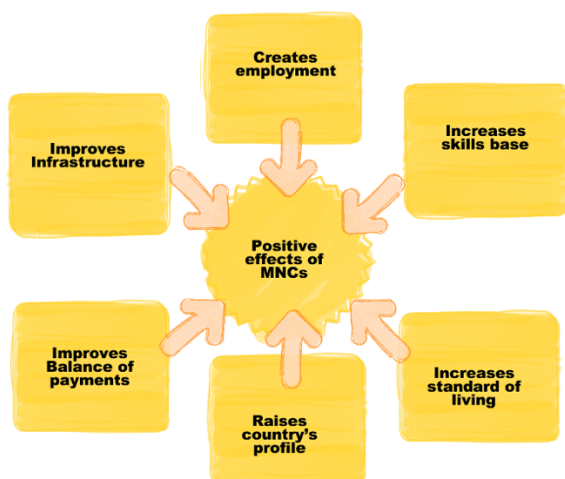
A MNC is a multinational corporation, a business which operates in more than one country. For example Coca Cola produces in over 200 countries.

Note you may also see this type of business called MNEs or transnational corporations, but they all mean the same thing

The Impact of MNC's

impact of MNCs on local economy

Positive effects of MNCs



Creates employment

There are jobs available for local people, thus reducing numbers of unemployed and the resultant drain on local resources

Increases skills base

Many MNCs operate training schemes for local people to learn how to use machinery. Such skills also attract other firms to the country

Increased standard of living

An increase in earnings increases taxes paid within the country and gives more money to spend on services

Raises country's profile

MNCs plan their moves carefully. This is known worldwide and the movement into a particular country is a statement about its pro-business environment and political stability.

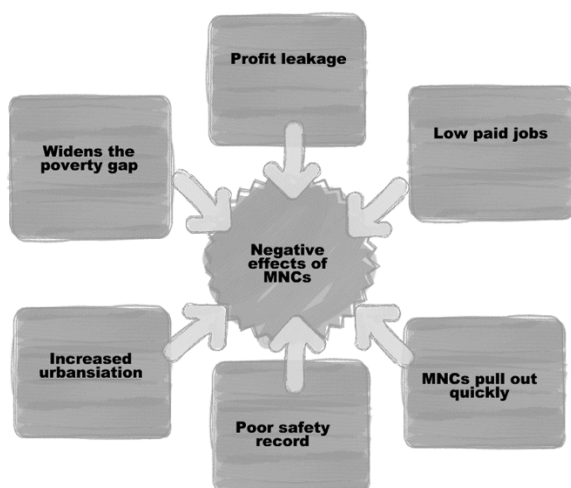
Improves balance of payments

Many goods made by MNCs are exported to other nearby countries. This increases amount of money earned by the country.

Improves infrastructure

MNCs often improve communication links within a country, e.g. road, rail and port facilities are updated and expanded. This benefits the country.

Negative effects of MNCs



- **Profit leakage**

Profits from factories or hotels run by the MNC go to the country in which the head office of the company is found.

- **Low paid jobs**

Mainly low paid jobs are provided for local people. Higher paid managerial jobs go to workers brought in from the head office country.

- **Pull out quickly**

In times of recession/low sales, jobs of workers in the head office country are protected for longer than in other factories.

- **Poor safety record**

Poorer countries often have poorer safety standards, and governments are willing to turn a blind eye to breaking the standards that exist.

- **Increases urbanisation**

Most jobs created by MNCs are usually found in or close to urban areas. Hope of securing these jobs attracts more people from rural areas to cities.

- **Widens poverty gap**

Although wages are low in factories, they are higher than elsewhere. This increases the cost of living for all, as prices of goods rise.

The local community and environment

– improvements in infrastructure : might invest in the development of roads, electricity and other public amenities. this improves the quality of human capital in the area

– contributions to government taxes : would have to pay corporate tax, other local taxes. this money can be used by local government on other areas of the country.

– environmental damage

- In India, Coca-Cola extracted 1.5 million litres of deep well water, which they bottled and sold under the names Dasani and BonAqua.
- The groundwater was severely depleted, affecting thousands of communities with water shortages and destroying agricultural activity.
- As a result, the remaining water became contaminated with high chloride and bacteria levels, leading to scabs, eye problems, and stomach aches in the local population.

impact of MNC on the national economy

1. Economic growth

- provides a boost to the national income.
- creates employment and the extra output and employment made by multinationals, increases economic growth.
- due to higher wages, living standards for people also increases

2. FDI inflows

- FDI is foreign direct investment
- When a multinational invests in a host country, the scale of the investment (given the size of the firms) is likely to be significant.
- Governments will often offer incentives to firms in the form of grants, subsidies and tax breaks to attract investment into their countries.
- India has had \$300billion of FDI to date

3. Balance of payments

- Inward investment will help a country's balance of payments.
- The investment will be a direct flow of capital into the country and the investment is also likely to result in import substitution and export promotion.
- Export promotion comes due to the multinational using their production facility as a basis for exporting, while import substitution means that products previously imported may now be bought domestically.

4. Technology and skill transfer

- MNCs will bring with them technology and production methods that are probably new to the host country and a lot can therefore be learnt from these techniques.
- Workers will be trained to use the new technology and production techniques and domestic firms will see the benefits of the new technology. This process is known as technology transfer.

5. Consumers

- If the multinational manufactures for domestic markets as well as for export, then the local population will gain from a wider choice of goods and services and at a price possibly lower than imported substitutes.
- Consumers get the benefit of new products and services from the more industrialised nations

6. Business culture

- Cultural and social impact - large numbers of foreign businesses can dilute local customs and traditional cultures.
- George Ritzer coined the term McDonaldisation to describe the process by which more and more sectors of American society as well as of the rest of the world take on the characteristics of a fast-food restaurant, such as increasing standardisation and the movement away from traditional business approaches.

7. tax revenues

- profits made by MNCs are taxed by the government. this can spent on improving government services
- however, due to the high taxes MNCs will seek locations where taxes are low. a common technique to avoid tax on profit is transfer pricing. this is when mncs avoid tax rates through the prices which one subsidiary charges to another for components and finished goods

EXAM STYLE QUESTION

BAT hopes to strike lucky in Indonesia

British American Tobacco (BAT), the world's second-biggest cigarette maker, whose top brands include Lucky Strike, Dunhill and Pall Mall, is buying a controlling stake in Bentoel, Indonesia's fourth-biggest tobacco firm, for \$494 million. Bentoel employs over 7,000 people in the manufacturing, marketing and distribution of cigarettes.

The deal gives BAT its first taste of kretek, a cigarette made with tobacco and cloves. 5

Indonesia, where 93 per cent of all cigarettes smoked are kretek, is seen as one of the most promising emerging markets for tobacco. About a third of the country's 248 million people smoke, making it the fifth-biggest tobacco market by volume and among the ten most profitable.

In the past decade BAT has entered a number of emerging markets, including Turkey, Egypt, Vietnam, South Korea and Nigeria. 10

(Source: adapted from *The Times*, 18 June 2009, Ian King, Deputy Business Editor)

Tribe files lawsuit against Freeport in Indonesia

Lawyers representing an Indonesian tribe have filed a lawsuit against U.S. mining company Freeport, demanding \$30 billion in damages for environmental and human rights violations.

The Freeport mine has frequently been targeted by rights groups and environmental campaigners who claim it is stealing the region's wealth, evicting local people from ancestral lands and polluting the environment. 5

(Source: <http://www.businessweek.com/ap/financialnews/D99TV25O2.htm>, 7 August 2009)

Evaluate the impact of multinationals on host countries such as Indonesia.
[20]

ANSWER

Level	Mark	Descriptor	Possible content
1	1-2	Knowledge/understanding of what is meant by multinationals. <i>Material presented is often irrelevant and lacks organisation. Frequent punctuation and/or grammar errors are likely to be present and the writing is generally unclear.</i>	For example, multinationals are businesses that operate in or have assets in more than one country. For example, a host country is one in which a multinational operates.
2	3-6	Application must be present, i.e. the answer must be contextualised and show examples of impact of multinational on host country. Low Level 2: 3-4 marks. Candidate uses a limited range of examples. High Level 2: 5-6 marks. Candidate uses a good range of examples. <i>Material is presented with some relevance but there are likely to be passages that lack proper organisation. Punctuation and/or grammar errors are likely to be present which affect clarity and coherence.</i>	For example, Foxconn and Chinese workers. For example, Primark and allegations of sweatshops and child labour. For example, CSR programme of companies such as Mothercare. For example, jobs created by Freeport.

Level	Mark	Descriptor	Possible content
3	7 -12	Analysis in context must be present, i.e. the candidate must give reasons/causes/costs/consequences of multinationals (MNCs) on host countries. Low Level 3: 7-9 marks. Analysis weak: explanation of impacts of MNCs is limited. High Level 3: 10-12 marks. Analysis is developed: explanation of impacts of MNCs is developed. N.B. if analysis is not in context, limit to Level 2. <i>Material is presented in a generally relevant and logical way but this may not be sustained throughout. Some punctuation and/or grammar errors may be found which cause some passages to lack clarity or coherence.</i>	For example, MNCs create employment. A workforce will be needed. Local businesses may be involved in supplying or servicing the MNC, taking on more workers. Incomes are created. For example, skills and technology transfer may take place, benefiting the local economy. For example, increased employment and wages should enlarge the tax base and increase government revenue. For example, exports may increase, improving the balance of payments. For example, CSR policies can help local communities.

Level	Mark	Descriptor	Possible content
4	13-20	Evaluation must be present and in context, balancing the impact of MNCs on host countries. Low Level 4: 13-14 marks. Some evaluative points are made, based on analysis of the impact of MNCs without arriving at a conclusion/judgement. Mid Level 4: 15-17 marks. Candidate gives a range of arguments to show the contrasting impacts that an MNC can have, and a judgement is attempted. High Level 4: 18-20 marks. Convincing evaluation on the impact of MNCs. Several strands may be developed; the answer is clear and articulate leading to a convincing conclusion. N.B. if evaluation is not in context, limit to Level 3. <i>Material is presented in a relevant and logical way. Some punctuation and/or grammar errors may be found but the writing has overall clarity and coherence.</i>	For example, exploitation of labour – low wages, poor working conditions, lack of health and safety conditions, child labour. For example, MNCs may not train local workers to a high level. For example, MNCs can cause great damage to the environment by their processes and the transportation of their products. For example, MNCs can bring cultural imperialism which replaces, and even destroys, the native culture with unwanted products and values. For example, taxes can be avoided by practices such as transfer pricing, profits can be repatriated to the home country. For example, can initiate a race to the bottom.

INTERNATIONAL BUSINESS ETHICS

What you need to know:

a) Stakeholder conflicts.

b) Environmental considerations:

- emissions and waste disposal
- sustainability.

c) Supply chain considerations:

- pay and working conditions
- exploitation of labour and child labour.

d) Marketing considerations:

- misleading product labelling
- inappropriate marketing activities.

ETHICS

- Ethics mean having moral principals that govern how a company does business. A moral principal is one that knows right from wrong
- ethics refers to the principles and acceptable norms that govern behavior.
- if a firm establishes itself in a country, it will have to work within the institution framework of both the home and the host country.
- many international businesses have a written codes of conduct that sets out policies to guide them

a) Stakeholder conflicts

1. consumers:

- conflicts of interest
- product safety
- misleading advertising

2. employees:

- employee safety
- employee redundancy : company may need to reduce staff numbers to regain profitability
- pay and conditions

3. shareholders:

- conflicts of interests between management and the shareholders
- short-term vs long-term returns on share

4. countries or communities:

- safety where people's well being is compromised

- environmental concerns, where the activities could pollute or damage the environment
- resource depletion

Stakeholder conflict map



MNC objectives vs stakeholders

Owners seek high profits...

- High profits means keeping wages low which means that workers may not be paid a living wage
- High profits means keeping costs as low as possible so working conditions may suffer
- High profits mean that labour laws may not be kept to
- High profits mean that work might be subcontracted out to third parties who use child labour or forced labour

Shareholder objectives vs ethical objectives

Shareholder objectives

- High profits
- High dividends
- Growth
- Return on their investment
- A positive corporate image



Ethical corporate objectives

- Low emissions
- Safe waste disposal
- Paying fair wage rates to employees in other countries
- Sourcing sustainable raw materials



Stakeholders – labour exploitation

- In a world of complex supply chains, migrant workers, sub-suppliers and a constant squeeze on costs, corporate leaders and their stakeholders are keenly aware of the risk of labour exploitation
- There is scope for MNC leaders to champion against forced labour, which would help an estimated 21million people in the world today

Pay and working conditions

- Pay varies around the world, as does the cost of living
- There are thousands of videos on the internet which explain that MNCs don't pay fair wages that the locals can live on – which is exploitation
- Owners want low costs and low wages, employees want higher wages that they can live on
- Working conditions in developing nations can be well below those of industrialised nations
- Owners want high profits and so may cost cut health and safety measures e.g. no fire escapes

b)Environment considerations

- Is it ethical for MNCs in developing nations to only adhere to less severe environmental legislation than the UK?
- Do MNCs have an ethical duty to be as environmentally responsible as possible? This is the debate.
- There are lots of environmental considerations that effect business, but your exam board would like you to know about:
 - Emissions
 - Waste disposal

MNCs and emissions

- An emission means the production and discharge of something, especially gas or radiation
- The climate crisis of the 21st century has been caused largely by just 90 companies, which between them produced nearly two-thirds of the greenhouse gas emissions generated

MNC and waste disposal

- MNCs regularly flout or ignore “weak” environmental laws in India and other developing nations
- The owners want to keep costs down, good waste management is expensive and so there is a stakeholder conflict with those that live near these toxic dumps
- governments enforce legislation on how companies dispose of waste. However, there are many barriers to effective waste disposal, such as the lack of proper infrastructure to allow for efficient waste removal

Sustainability:

- A sustainable business is one that operates without negatively affecting the ability of future generations to meet their needs.
- For business to be sustainable, it must address issues such as economic efficiency, social equity, and environmental accountability.
- This might mean that businesses should adopt production methods that :
 - avoid the use of large quantities of non renewable resources
 - make more use of recycled materials
 - reduce or eliminate waste and pollution
 - have a positive impact on the environment

c) supply chain considerations

A supply chain is a system of businesses, people, activities, information, and resources involved in moving a product or service from supplier to customer.

Having part of a supply chain in a developing nation can be a problem for the MNCs

Many garment factories or labour intensive production processes outsource to slums, refugee camps and unlicensed back street businesses with poor working conditions

This can mean that labour is intentionally or unessentially exploited by the MNCs

Some of the key supply chain issues are outlined below:

1. Pay and working conditions:

- All employees have certain rights at work relating to their pay and conditions.
- Due to globalization, many MNCs have their manufacturing operations in other countries. this means that some of these countries standard of working conditions are low and workers are not paid a living wage as there are no legal requirements to do so. these factories are sometimes referred to as 'sweatshops'.
- If factories in developing countries don't pay a decent wage, it attracts criticism. to avoid this companies published lists of the factories that they use including an audit of these factories ethical practices.

2. Exploitation of labour:

- This begins when an individual seeking work contacts a recruiter. the recruiter charges the employee fees to find them a job. once a position is found, the employing firm will repay back the recruiter and ask the new employee to pay them back. this is called 'bonded labor'. it forces the worker to stay with the employer until the debt, with interest, is paid.

3. Child labour:

- Some children are trapped in forms of slavery in armed conflicts, forced labour and debt bondage (to pay off debts incurred by parents and grandparents), drug trafficking and organised begging and in many other forms of labour.
- For some work, children receive no payment, only food and a place to sleep
- Poverty is the most common reason why children work
- Poor households spend the bulk of their income on food and the income provided by working children is often critical to their survival

d) Marketing considerations

Ethics and misleading marketing

- If your cereal says it has no added sugar - it may still be high in sugar, hidden as fructose or glucose
- Rowntree's Fruit & Nut bar is 38% sugar

None of these products is breaking the law, but they are giving a false impression to consumers

This depends on the type of business and product as well as the specific market

1. Misleading product labeling :

- should ensure that the labels are not misleading, so that consumers can make a fully informed choice as to whether to buy their products and how to use them once bought
- labels must be accurate and avoid the use of false information

2. Inappropriate marketing activities

- product and business marketing can cover a broad range of different activities, such as advertising, publicity and direct marketing. these can be considered inappropriate if they are actually illegal or offensive

EXAM STYLE QUESTION

Extract G

H&M's struggle for ethical and sustainable fashion

H&M recently introduced a strategy called H&M Conscious which is a commitment to a more sustainable future. This has seven commitments which include: recycling materials, reducing its carbon footprint, using more sustainable fabrics and offering fair living wages to its garment workers. However, its business model is based on producing several collections per season and introducing hundreds of new designs per week does raise a number of ethical issues. 5

The Swedish retailer currently produces over 550 million garments each year and expanded its sportswear collection last year, whilst launching its new store concept and other stores.

H&M also unveiled plans to open 375 new stores by the end of 2014, with its largest store in Europe planned to open in Rotterdam while entering new markets such as Australia and India. 10

H&M will also support factory owners to develop pay structures that enable fair living wage, ensure correct compensation and overtime within legal limits. A trial of this support was introduced successfully to three model factories, two in Bangladesh and one in Cambodia. 15

(Source: adapted from <http://www.fashionunited.co.uk/fashion-news/fashion/hms-struggle-for-ethical-and-sustainable-fashion-2014041420744>)

Assess the likely value of behaving ethically, to a fashion business such as H&M.

- Behaving ethically means taking a moral judgement about right and wrong in a decision, rather than just considering the most profitable approach.
- H&M's ethical image is demonstrated by their H&M Conscious, e.g. recycling, reducing carbon footprints, offering fair living wages.
- For H&M being ethical might help to differentiate itself from its competitors which also might lead to increased sales.
- Fashion customers are often younger consumers who might be keener to consider issues such as sweatshops and child labour, which are both ethical issues.

Potential counterbalance

- Behaving ethically can sometimes be more expensive due to the increased costs of monitoring and checking the business' supply chain
- Customers may be sceptical about ethical claims and buy from competitors instead
- Could possibly be a marketing ploy aimed at young buyers.

Potential Judgement

- Customers might be more concerned about price in the fast-moving fashion world, so ethics is less of a buying consideration

CONTROLLING MNC's

What you need to know

a) Factors to consider:

- power of MNC
- political influence
- legal control
- consumer pressure
- pressure groups
- social media
- self-regulation.

MNC

- Multinational corporations differ from domestic companies in that they invest in foreign countries, set up manufacturing plant and marketing companies there, employ personnel and in this way integrate permanently into other economies.
- The links between the various parts of the corporation operating in different countries are provided by centralised management from group headquarters, which is in the home nation.

The power of MNCs

- Many MNCs have great power through their wealth, than some of the nations that they do business in
- Relations between MNCs and nation states are prone to conflict.
- On one hand the nation state enjoys the jobs, technology transfer, taxes and infrastructure and on the other they dislike the power that these companies have over sovereignty
- However MNCs sometimes operate as monopolists and exploit consumers by charging high prices
- they can also dominate the market and drive smaller firms out of the market
- mncs aim to maximize profit so they use working practices that pollute the environment or consume large quantities of non renewable resources
- mncs control flows of revenue and profits through countries with low tax rates, and as a result avoid huge tax payments

Political influence to control MNC activity

- Governments can apply pressure to attempt to change the behaviour of MNCs
- For example MNCs have been avoiding paying tax in the UK
 - Starbucks
 - Google
 - Amazon
- Since 2012, when the UK Chancellor at the time, put tax avoidance on the G20 agenda, the UK has helped reform international tax rules and led the way with action to prevent corporations from paying little or no taxes

Benefits of the use of political influence to control MNC activity

- MNCs may wish to get political approval from the governments of the host nations, this may help trade and setting up in a new country
- If the MNC gains political approval they may find trading smoother and less troublesome

Drawbacks of the use of political influence to control MNC activity

- Politicians can be bribed, not such an issue in the UK but quite common in other countries
- Some MNCs bring so much wealth and employment to an economy that a weaker government might ignore unethical activities, for example:
 - Brazil
 - Nigeria
 - Mali

Legal control to control MNC activity

- One of the best ways of controlling big firms is through regulations
- If a country introduces laws to reduce pollution or protect children from child labour then this will all cost the MNC money to improve their practices
- Quite often the MNC may ignore or flout these regulations
- Prime example is the Deepwater Horizon where the US government legally made BP pay compensation to Mexicans affected by the disaster (see video at end of PowerPoint)

Benefits of the use of legal controls to control MNC activity

- Laws can be passed at any point to control the actions of a MNC which are already established in a country
- Laws mean that consumers have some rights against the MNC as in the McLibel case – see next slide

However even if laws are introduced, they may still be broken by the MNCs

Drawbacks of the use of legal controls to control MNC activity

- The MNC may simply move production to a country where there are less laws and restrictions
- The host nation does not want to lose the economic input of the MNC so this deters laws being passed
- MNCs can afford expensive legal defence of any challenge

Consumer pressure to control MNCs

- Throughout the 1990s, Nike was targeted by labour activists, for allowing its suppliers in poor countries to abuse and exploit workers.
- At first, Nike said it couldn't be responsible for conditions in factories it didn't own.
- Protests and media reports added pressure. In 1996, Life magazine published a story headlined "Six Cents an Hour," with a photo of a Pakistani boy sewing Nike soccer balls.
- Phil Knight, who was then CEO, promised reform in a 1998 speech. "The Nike product has become synonymous with slave wages, forced overtime and arbitrary abuse," he said. "I truly believe that the American consumer does not want to buy products made in abusive conditions."
- It was slow in coming but Nike eventually set up an extensive and expensive system for monitoring and remedying factory conditions in its supply chain – and the rest of the footwear and apparel industry followed.

Pressure groups to control MNCs

- Pressure groups are organisations which campaign for changes in the law or new legislation in specific areas.
- Pressure groups can have a strong influence on public opinion and behaviour of MNC, if they want to avoid a PR disaster
- Pressure groups such as
 - Greenpeace

- WWF
- Friends of the Earth
- War on Want
- They can use several methods such as:
 - boycotting : this involves withdrawing from commercial or social relations as a form of protest
 - media criticism
 - direct action : this is the use of demonstrations, protests, strikes or sabotaging to achieve a political or social goal.
 - lobbying : this is the taking of issues directly to government in an effort to influential change

Benefits of the use of pressure groups to control MNC activity

- Pressure groups can raise public awareness of MNCs activities in host countries
- Pressure groups can create PR problems for MNCs peacefully, which can lead to a change in their behaviour
- A good way to enlist committed people to lobby for the cause
- Alters politicians and authorities to the concerns of the public

Drawbacks of the use of pressure groups to control MNC activity

- The pressure group needs to be large and organised if it is to have any impact on changing the activities of the MNCs
- The size and wealth of the largest MNCs mean they can easily counter or quieten pressure group activity
- Direct action by pressure groups can sometimes lead to violence which dilutes the original message

Social media to control MNC activity

- Tools such as Twitter can see the swift mobilisation of public opinion and hence pressure on MNCs to change their behaviour
- Social media can turn a product scare into a national crisis within hours
- Social media networks can be used to orchestrate a boycott which will affect the sales and reputation of the MNC

Benefits of the use of social media to control MNC activity

- Social media can be a very powerful way to change the behaviour of MNCs
- Support for the cause can be gathered very quickly and for free
- For example Twitter can put pressure on large corporations
- Trip Advisor has also become a very powerful way for customers to alter policy, activity and services of large hotel chains

Drawbacks of the use of social media to control MNC activity

- Social media can only effect short-term change the Internet is a dynamic medium, fickle customers become bored easily and move on to the next scandal
- A MNC can just dust itself down and carry on with very little impact on their activities

Self-regulations

- this means that a group of firms in the same industry agree to follow a set of rules and guidelines to ensure proper conduct.
- the regulations can address issues such as health and safety, ethical behavior, responsibility to employees and consumers
- self regulation also involves self policing. this means that the businesses who are signed up to an agreement monitor their own activities
- might do this by measuring emissions, recording customer complaints and listening to employee's issues.

Advantages of self-regulation

- government regulation can be avoided. compliance costs can be a burden when the government imposes rules and regulations
- the needs of business stakeholders might be better served. this is because members signed up to an agreement will be more aware of the practices in the industry than the outside agency
- the reputation and image of the business can be improved
- easier for businesses to encourage it's employees to adopt ethical behavior and principles